

FEDERAL MARITIME COMMISSION

CROCUS INVESTMENTS, LLC &
CROCUS, FZE,

Complainant,

v.

MARINE TRANSPORT LOGISTICS, INC.,

Respondents.

Docket No. 15-04

Served: August 18, 2021

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*, Rebecca F. DYE, Michael A. KHOURI, Louis E. SOLA, Carl W. BENTZEL, *Commissioners*. *Chairman* MAFFEI filed a concurring opinion.

Order Affirming Initial Decision on Remand

This case is before the Commission following a remand to the Administrative Law Judge (ALJ) to address the merits of the sole remaining claim against Respondent Marine Transport Logistics (Marine Transport) under 46 U.S.C. § 41102(c). Complainants Crocus Investments, LLC and Crocus, FZE (collectively Crocus) alleged, among other things, that Marine Transport, a licensed non-vessel operating common carrier (NVOCC), charged excessive fees to store their cargo (a Formula boat) prior to export and negligently

failed to provide promised services. The ALJ dismissed all of Crocus's claims, and Crocus filed exceptions. The Commission affirmed the dismissal except for the claim regarding the storing or handling of the Formula boat from August 2013 through February 2014, which the Commission remanded. *Crocus Investments, LLC v. Marine Transp. Logistics, Inc.*, FMC Docket No. 15-04, 2019 FMC LEXIS 44 (FMC July 16, 2019) (FMC Order). On remand, the ALJ determined that Marine Transport acted unreasonably by charging more than its tariff rate to store the Formula boat from August 2013 to February 2014 without advance notice to Crocus. The ALJ dismissed the § 41102(c) claim, however, because Crocus failed to prove that Marine Transport normally, customarily, or continuously overcharged to store cargo earmarked for export.

Crocus filed exceptions and argues that: (1) it is not required to prove that Marine Transport's allegedly unreasonable conduct was normal, customary, and continuous because the Commission's 2018 Interpretative Rule, codified at 46 C.F.R. § 545.4, does not apply to claims that were pending prior to the rule's effective date; and (2) even if § 545.4 applies, the evidence shows that Marine Transport was generally dishonest in its dealings with Crocus related to the Formula boat and two other boats, was found by the Commission to have violated § 41102(c) in handling a 2007 shipment of three vehicles, and stands accused of violating § 41102(c) in two other cases pending before the Commission.

These arguments are unpersuasive. Crocus cites no legal support for its argument that § 545.4 does not apply, and the Commission has previously applied the rule in circumstances such as this. Additionally, Crocus has not proved that Marine Transport's conduct occurred on a normal, customary, and continuous basis as required by § 545.4. Crocus points to only one prior occasion when Marine Transport was found in violation of § 41102(c) for conduct related to storage fees on export cargo, and that occurred in December 2007 and involved a single shipment of three vehicles. The other conduct Crocus relies on comprises unproven allegations that are unrelated to storage fees.

For the reasons set forth below, the Commission affirms the ALJ's dismissal of the § 41102(c) claim and dismisses the complaint with prejudice.

I. BACKGROUND

A. Factual Background

Crocus¹ is in the business of purchasing used boats and vehicles to repair and resell overseas with help from its former affiliate in Dubai, United Arab Emirates. Initial Decision on Remand (I.D.R.) at 7. Crocus's owner, Alexander Safonov, worked with Respondent Aleksandr Solovyev to select and purchase boats and vehicles at auction. Acting as Marine Transport's agent, Mr. Solovyev would then arrange for Crocus's purchases to be delivered to a shipping/loading or storage facility prior to being exported overseas. FMC Order, 2019 FMC LEXIS 44, at *16-*19.²

Crocus purchased the Formula boat involved in this case in August 2013, and Mr. Solovyev arranged for storage in New Jersey at a facility operated by World Express & Connection, Inc. (World Express), a company that he owns. I.D.R. at 9. Mr. Solovyev billed Crocus for services related to the purchase and storage of the Formula through another of his companies, Royal Finance Group, Inc. *Id.* at 8. Before the Formula could be shipped overseas, it required a boat trailer. *Id.* After Mr. Safonov rejected the first trailer offered to him, Mr. Solovyev located a second one that was acceptable. *Id.* By December 2013, Mr. Solovyev had purchased a trailer for the Formula and billed Crocus for that purchase. *Id.* at 10.

¹The ALJ restated the original findings relevant to the issues on remand (which the Commission previously adopted) and entered additional findings which the Commission now adopts. The facts recited in Section I are based on the original and new findings in the I.D.R. at 7-11.

²The Commission previously affirmed the ALJ's dismissal of Crocus's 46 U.S.C. § 40901(a) claim against Solovyev. FMC Order, 2019 FMC LEXIS 44, at *16-*19.

Despite the trailer purchase, the Formula was not shipped to Dubai, and as of February 2014, remained at the World Express warehouse. By that time, Mr. Safonov had begun to mistrust his business associate in Dubai and decided that he would not ship the Formula boat to Dubai. He expressed this change of plans in an email dated February 14, 2014 addressed to Mr. Solovyev and noted his relief that there had not been time to ship the Formula boat overseas and asked about documents required to ship it to Florida instead. *Id.*

As of July 2014, the Formula was still stored at the World Express warehouse in New Jersey. Mr. Safonov inquired about its status and renewed his inquiry about shipping it to Florida. *Id.* at 10. In reply, Mr. Solovyev quoted a price to transport the Formula and two other boats belonging to Crocus (a Monterey and Chaparral) to Miami and demanded \$38,859.39 in accrued storage charges for the Formula boat. *Id.* at 10-11. The dispute over the accrued storage charges and other matters led to this action against Marine Transport and Mr. Solovyev.

B. Procedural History

Crocus filed this action in May 2015 seeking \$416,739 in reparations for Respondents' alleged violations of §§ 40901(a) and 41102(c) in handling the Formula and two other boats. Compl. ¶¶ 28-31. After discovery, the ALJ issued an Initial Decision on June 17, 2016, dismissing the complaint with prejudice. Initial Decision (I.D.) at 19-27. The ALJ dismissed all claims related to the Formula on jurisdictional grounds because the parties never entered into a contract to ship that particular boat overseas. *Id.* at 26. The ALJ also dismissed the § 41102(c) claims related to inquiries about shipping all three boats from New Jersey to Florida as outside the Shipping Act's jurisdiction. *Id.* at 24-26. All remaining claims were dismissed with prejudice on the merits. *Id.* at 27. Complainants filed timely exceptions challenging the ALJ's dismissal.

In 2019, the Commission affirmed the ALJ's dismissal of the claims involving the Monterey and Chaparral boats and the claims against Mr. Solovyev. FMC Order, 2019 FMC LEXIS 44 at *10. The Commission vacated, however, the Initial Decision with respect to the § 41102(c) claim related to Marine Transport storing or making other arrangements for the Formula from August 2013 to February 14, 2014, and the Commission remanded that claim to the ALJ. On remand, the parties filed additional briefs and exhibits but did not engage in additional discovery. I.D.R. at 6. The ALJ issued the remand decision on December 9, 2020 and found that while Crocus had established that Marine Transport acted as an ocean transportation intermediary (OTI), imposed unreasonable fees for storing the Formula from August 2013 to February 2014, and caused Crocus to suffer damages, Crocus failed to prove that the unreasonable conduct (i.e., excessive storage fees for export cargo without notice) was Marine Transport's normal and customary practice. The ALJ consequently dismissed Crocus's remaining § 41102(c) claim.

Crocus filed exceptions arguing that it was not required to prove that Marine Transport's conduct was normal and customary because the Commission cannot retroactively apply §545.4. Crocus further argues that even if § 545.4 applies, the evidence shows that Marine Transport has engaged in dishonest conduct generally, is the subject of pending § 41102(c) claims, and was found in violation of § 41102(c) in handling a 2007 shipment. Crocus's Br. in Support of Exceptions (Crocus Exceptions) (Dec. 31, 2019). Marine Transport filed a reply and asks the Commission to affirm the ALJ's ruling and dismiss the complaint with prejudice.

II. DISCUSSION

A. Legal Standards

When the Commission reviews exceptions to an ALJ's Initial Decision, it has "all the powers which it would have in

making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ’s findings de novo. *Id.*; see also *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 FMC LEXIS 43, *110-*11 (FMC Dec. 18, 2015). Complainants bear the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 FMC LEXIS 35, *41 (FMC Dec. 17, 2014). Under the preponderance standard, Complainants must show that their allegations are more probable than not. FMC Order, 2019 FMC LEXIS 44, at *10.

B. Section 41102(c) Claim

The ALJ determined that Crocus established all but one of the elements required to prove its § 41102(c) claim based on fees charged to store the Formula boat. I.D.R. at 22. The ALJ found that Crocus failed, however, to prove that Marine Transport normally, customarily, and continuously overcharged shippers to store export cargo, without notice, for over a year. *Id.* at 21. Whether Crocus met its burden of proof on that element is the only liability issue before the Commission.

Crocus’s exceptions raise the following issues: (1) whether the ALJ properly required Crocus to establish that the conduct was normal, customary, and continuous per § 545.4; and (2) whether Marine Transport’s alleged misconduct in handling other aspects of the Formula’s purchase and storage (e.g. falsifying documents, etc.), the pending claims against it in other Commission cases, and the Commission’s finding that Marine Transport overcharged for storage on a 2007 shipment satisfy the normal, customary, and continuous element of § 41102(c).

1. Elements Required to Prove a § 41102(c) Claim

Section 41102(c) of Title 46 provides that common carriers

and other regulated entities “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission clarified the elements required to prove a § 41102(c) claim in rulemaking proceedings (Docket No. 18-06) finalized in December 2018. Final Rule: Interpretive Rule, Shipping Act of 1984 (Final Rule), 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); Notice of Proposed Rulemaking, Interpretive Rule, Shipping Act of 1984 (NPRM), 83 Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018). The Final Rule, codified at 46 C.F.R. § 545.4, clarifies that § 41102(c) is not violated by a single act or omission (even if unjust or unreasonable), but rather applies to conduct that is normal, customary, and continuous.

Under § 545.4, a complainant must prove five elements to establish a successful § 41102(c) claim for reparations:

- The respondent must be an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- The “claimed acts or omissions” must occur on a “normal, customary, and continuous basis;”
- The practice or regulation relates to or is connected with “receiving, handling, storing or delivering property;”
- The practice is unjust or unreasonable; and
- The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *see also* Final Rule and NPRM.

2. Applying Section 545.4 to Pending Claims

Before addressing whether Crocus met its burden of proof on the “normal, customary, and continuous” element of its claim, the Commission considers Crocus’s argument that it is not required to prove that element. Crocus suggests that applying § 545.4 to its § 41102(c) claim exceeds the Commission’s rulemaking authority under the Administrative Procedure Act (APA) because Marine Transport’s conduct occurred in 2013/2014, before the rule’s effective date. Crocus Exceptions at 27. Crocus does not reference any particular section of the APA or cite supporting caselaw but rests its argument on the conclusory assertion that applying § 545.4 retroactively unfairly rewards Marine Transport. *Id.*

Crocus correctly points out that the conduct at issue occurred, and Crocus filed suit, prior to the promulgation of 46 C.F.R. § 545.4. But the Commission has consistently applied § 545.4 to cases that were pending when the rule went into effect. *See, e.g., Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, FMC Docket No. 17-02, 2020 FMC LEXIS 192 (FMC Sept 1, 2020) (applying § 545.4 to 2016 shipments); *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, FMC Docket No. 14-15, 2019 FMC LEXIS 85, at *4-5 (FMC Dec. 17, 2019) (§ 41102(c) claims regarding 2012 shipments and 2013 payments remanded for consideration under the Interpretative Rule). The Commission pointed out in *Ngobros* that:

Although the Commission revised its interpretation of § 41102(c) after the ALJ issued its Initial Decision, any retroactive effect of the Commission’s interpretive rule is subsumed in the permissible retroactivity of agency adjudication. *See, e.g., Health Ins. Ass’n of Am. v. Shalala*, 23 F.3d 412, 424 (D.C. Cir. 1994); *St. Luke’s Hosp. v. Sebelius*, 611 F.3d 900, 907 (D.C. Cir. 2010); *Providence Health Sys. – Washington v. Thompson*, 353 F.3d 661, 667 (9th Cir. 2003). Nor would applying the normal, customary, and continuous standard in this case work

a manifest injustice. *Clark-Cowlitz Joint Operating Agency v. Fed. Energy Regulatory Comm’n*, 826 F.2d 1074, 1081 (D.C. Cir. 1987) (en banc). While this is not the first case in which the revised interpretation of § 41102(c) was announced, and the revised interpretation departs from a line of Commission caselaw, there is no indication that the parties conformed their conduct in reliance on the prior interpretation of § 41102(c), the revised standard is not imposing new liability on anyone, and applying the standard is consistent with the Commission's approach in other cases. *E.g.*, *Hangzhou*, 1 F.M.C.2d at 262.

Ngobros, 2019 FMC LEXIS 85, at *4 n. 2.

Crocus’s argument provides no reason for the Commission to alter its analysis. The restriction against retroactivity does not apply to interpretative rules if the agency could have achieved the same result through its internal adjudicative process. *Health Ins. Ass’n*, 23 F.3d at 424. Subject to some limitations, agency decisions issued in internal adjudications typically apply retroactively, and that same permissive retroactivity extends to rules the agency issues interpreting a federal statute. *See id.*; *Clark-Cowlitz*, 826 F.2d at 1081. As the D.C. Circuit explained in *Health Ins. Ass’n*, restricting agencies from adopting a new interpretation of a preexisting statute and applying it retroactively “only if” the agency does not memorialize its interpretation in an interpretative rule would create “a perverse disincentive to issue such rules” leaving entities affected “more in the dark than before, for clues to the agency’s reading of the relevant texts would emerge only on an ad hoc basis.” *Health Ins. Ass’n*, 23 F.3d at 424-25. Instead of a clear and comprehensive explanation interpreting relevant statutes, complainants would be confronted with a series of ad hoc decisions addressing statutory coverage and requirements in a piecemeal fashion.

Here, the Commission did not need to issue § 545.4 to clarify

the elements of a § 41102(c) claim. It could have laid out the required elements for a § 41102(c) claim in this case (or any pending case) and disavowed past decisions without issuing an interpretative rule or raising concerns about impermissible retroactivity. *See id.* at 424. Establishing the same result through rulemaking does not preclude the Commission from applying the rule to pending cases involving conduct that occurred before § 545.4 took effect in December 2018. *See id.*; *see also St. Luke's Hosp.*, 611 F.3d at 907; *Providence Health Sys.*, 353 F.3d at 667.

There is, however, an exception to this general rule – retroactivity is not appropriate if it would “work a ‘manifest injustice.’” *Clark-Cowlitz*, 826 F.2d at 1081. Courts consider five factors in determining whether this exception precludes retroactive application:

- (1) whether the particular case is of first impression,
- (2) whether the new rule represents an abrupt departure from well-established practice or merely attempts to fill a void in an unsettled area of law,
- (3) the extent to which the party against whom the new rule is applied relied on the former rule,
- (4) the degree of the burden which a retroactive order imposes on a party, and
- (5) the statutory interest in applying a new rule despite the reliance of a party on the old standard.

Id. (quoting *Retail, Wholesale & Department Store Union v. Nat'l Labor Relations Bd.*, 466 F.2d 380, 390 (D.C. Cir. 1972)).

Applying these factors here does not justify departing from the normal rule allowing retroactive application even though the first two factors, by themselves, weigh in favor of the manifest injustice exception. The first factor “recognizes that a number of reasons call for the application of a new rule to the parties to the adjudicatory proceeding in which it is first announced.” *Id.* at 1081-82 (internal quotation marks and citations omitted). This is not the

first case in which the “normal, customary, and continuous” interpretation is being announced. The Commission described its revised interpretation in the Final Rule in 2018 and reiterated it in vacating and remanding in Docket Nos. 17-02 (*Hangzhou*) and 1960(I) (*M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*). Also, the Commission issued the rule sua sponte; it was not brought about by Marine Transport. *See id.* at 1082 (“For one thing, by granting the benefit of a change in the law to those whose efforts may have helped bring about the change, retroactive application of a new principle encourages parties to advance new theories or . . . challenge outworn doctrines.”) (internal quotation marks and citations omitted).

While the second factor weighs against applying § 545.4 to Crocus’s claims, it does not weigh heavily. The second factor “requires the court to gauge the unexpectedness of a rule and the extent to which the new principle serves the important but workaday function of filling in the interstices of the law.” *Id.* at 1082. It “recognizes that the longer and more consistently an agency has followed one view of the law, the more likely it is that private parties have reasonably relied to their detriment on that view.” *Id.* at 1083.

Here, § 545.4 is a purposeful departure from recent Commission caselaw interpreting § 41102(c). *See* NPRM, 83 Fed. Reg. 45367, 45367-68. It was adopted to signify the Commission’s revised interpretation based on a studied application of the rules of statutory construction, not to fill interstices in § 41102(c). *See Clark-Cowlitz*, 826 F.2d at 1083. This factor does not weigh that heavily against the general rule, however, because the Commission’s prior interpretation of § 41102(c) was not that old or that well-established. It began with a decision issued in 2010 but was not squarely discussed by the Commission until 2013. *See* 83 Fed. Reg. at 45367. Further, it was never confirmed by a published Court of Appeals decision. And Commissioners consistently dissented to the post-2010 interpretation as departing from long-established Commission precedent and straying from the rules of statutory construction and Congress’s plain intent. *E.g., Kobel v. Hapag-Lloyd A.G., FMC*

Docket No. 10-06, 2013 FMC LEXIS 47, at *82 (FMC 2013) (Khouri, Commissioner, dissenting).

As for the third factor, Crocus does not assert, and there is no evidence, that it relied on the Commission's prior interpretation of § 41102(c). *See* Crocus Exceptions. Although Crocus litigated its case through the first ALJ Initial Decision under that prior interpretation, there is no evidence that Crocus changed or conformed its conduct based on that prior interpretation and is now being unfairly penalized for doing so. There is no evidence, for example, that in storing the Formula or its other boats, Crocus relied on the fact that it might later seek reparations for unannounced overcharges under § 41102(c) without proving that Marine Transport normally and customarily engaged in that practice. Nor is there any indication that Crocus relied on the prior interpretation in deciding to pursue a § 41102(c) claim against Marine Transport. The absence of any reliance on Crocus's part contrasts markedly with the litigant's conduct in *Retail, Wholesale*, for example, where the company against whom the agency was applying its new rule had previously conformed its conduct to a well-established and long-accepted standard, and was confronted with the agency's attempt to punish conduct that complied with its former rule, but not with its newly-adopted policy. 466 F.2d at 391.

The lack of "punishment" inflicted on Crocus is also key to the fourth factor—assessing the degree to which Crocus is burdened by the application of § 545.4. This is not a situation in which the Commission is penalizing or imposing liability on a regulated entity that relied in "good-faith" on the Commission's prior interpretation of statutory intent. *See Clark-Cowlitz*, 826 F.2d at 1085-86. Rather, Crocus is being held to the standard of proof that Congress intended to apply to § 41102(c) claims against OTIs and carriers. And it is also relevant that Crocus was given an opportunity to meet this burden of proof, and the evidence it presented was fully evaluated and found lacking. Further, as the Commission noted in its Notice of Proposed Rulemaking, complainants seeking reparations for "discrete instances of unreasonable or unjust conduct" are not

necessarily without a remedy and might seek relief under common law or other federal statutes. 83 Fed. Reg. at *45368.

The fifth factor – the statutory interest in applying § 545.4 – does not clearly favor either result. Among the purposes of the Shipping Act is to establish a nondiscriminatory regulatory process for ocean common carriage, 46 U.S.C. § 40101(1), and the “primary objective of the shipping laws administered by the [Commission] is to protect the shipping industry’s customers, not members of the industry,” *N.Y. Shipping Ass’n v. Fed. Mar. Comm’n*, 854 F.2d 1338, 1374 (D.C. Cir. 1988) (quoting *Boston Shipping Ass’n v. Fed. Mar. Comm’n*, 706 F.2d 1231, 1238 (1st Cir. 1983)). But there is also an interest in minimizing government intervention in the industry, 46 U.S.C. § 40101(1), and in the Commission focusing on activities (*i.e.*, practices) that “negatively affect the broader shipping public,” 83 Fed. Reg. at 45367, which both counsel against applying an “old” statutory interpretation that is more expansive than the Commission deemed appropriate.

For all these reasons, the Commission finds that § 545.4 is not impermissibly retroactive as applied to Crocus’s § 41102(c) claim for reparations.

3. Proving Normal, Customary, and Continuous Conduct

The ALJ determined that Crocus failed to show that Marine Transport’s unreasonable acts or omissions occurred on a normal, customary, or continuous basis—the fifth and final element it needs to prevail on its § 41102(c) claim. 46 C.F.R. § 545.4.³ The Commission has described conduct indicative of a regulation or practice as actions that are “often repeated, systematic, uniform, habitual, and continuous,” basically, the manner in which a respondent carries out its business dealings. Final Rule, 83 Fed. Reg.

³ The parties did not dispute the ALJ’s findings on the other § 545.4 elements. I.D.R. at 19-22.

at 64479. “The essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct. It is not an occasional transaction . . .” *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 178, 201 (FMC 1964); *see also Muzorori v. Canada State Africa Lines, Inc.*, FMC Docket No. 1949(F), 2016 FMC LEXIS 45, at *71 (FMC 2016) (Khouri, Commissioner dissenting).

Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice. *Hangzhou*, 2020 FMC LEXIS 192. An “occasional transaction” or isolated act is not a “practice.” *Stockton Elevators*, 8 F.M.C. at 201. Two or three incidents over a short time period are not enough to show that the conduct in question is an entity’s normal and customary practice. *Hangzhou*, 2020 FMC LEXIS 192, at *7 (releasing 3 shipments to the same consignee without an original bill of lading over a 2-month period insufficient to show that was respondent’s normal practice or that it was customary or continuous). Even six instances of “unreasonable conduct” carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was “uniform or continuous” under § 41102 (or its predecessor, section 17 of the Shipping Act). *Stockton Elevator*, 8 F.M.C. at 200-201 (charges to the same customer inconsistent with tariff rates on six occasions amounted to a “single transaction”).

The question before the Commission, then, is whether Crocus has proved that Marine Transport assessed excessive storage fees on export cargo without notice or explanation on a normal, customary, and continuous basis.

Much of the evidence that Crocus relies on in trying to show “normal, customary, and continuous” unreasonable conduct relates to other aspects of Marine Transport’s purchase and handling of the Formula boat, and to a lesser extent, the Monterey and Chaparral boats, as opposed to the storage-charge-conduct the ALJ determined

was unreasonable.⁴ Crocus Exceptions at 10-14, 17-22. Crocus lists multiple transgressions allegedly committed by Marine Transport ranging from charging for services it failed to provide, falsifying documents, unreasonably withholding cargo, committing conversion, mishandling and failing to account for funds held in escrow, and not following Crocus's instructions, among other things. *See id.* at 10-14 and 21-24. Crocus claims these acts show that it is Marine Transport's "regular custom and practice to steal, lie, and defraud its clients at each and every step of the shipping process." *Id.* at 22.

None of the incidents that Crocus alleges as demonstrating Marine Transport's alleged propensity to cheat or defraud shippers is relevant.⁵ First, the ALJ did not sustain Crocus's claims based on these alleged actions. I.D.R. at 21 (citing Compl. at 5).⁶ Crocus did not appeal the ALJ's decision to reject claims unrelated to the

⁴Regarding the Monterey and Chaparral boats, the ALJ found "no evidence of unjust or unreasonable acts prior to shipping the boats overseas," and noted that the "appropriate charges for storage of these boats" was also the subject of a related district court action, *World Express & Connection, Inc. v. Crocus Investments, LLC*, No. 2:15-CV-08126-KM (D.N.J.). Further, prior to the remand, the Commission dismissed "Crocus's § 41102(c) claim related to the receipt and storage of the Monterey and Chaparral." FMC Order, 2019 FMC LEXIS 44, at *31.

⁵It is also noteworthy that a number of acts or omissions Crocus relies on are not services that an NVOCC would provide in its regulated capacity. *See* 46 C.F.R. § 515.2(k) (listing NVOCC services); *cf.* Crocus Exceptions at 10-12, 22-24 (describing Marine Transport activities related to the "business of selling automobiles and pleasure boats"). For example, assisting shippers with purchasing and financing the inventory they sell is a service that an NVOCC would not provide in its regulated capacity. It is also conceivable (if not probable) that when Mr. Solovyev was carrying out these activities, he was not acting as Marine Transport's agent, but was acting in an individual capacity or on behalf of another company he owns. Additionally, it is not clear that all these activities are related to or connected with receiving, handling, storing, or delivering property, which is the only type of practice or regulation covered by § 41102(c).

⁶The ALJ explained that "the record does not support a finding that [Marine Transport] unlawfully withheld property, committed conversion, charged unreasonable storage rates, or otherwise committed unjust reasonable acts on a normal, customary, and continuous basis." I.D.R. at 20.

storage charges, so evidence related to those allegations is not relevant in determining whether Crocus met its burden of proving a normal, customary, and continuous practice.

Without delving into whether each of these allegations is substantiated by the record, even if true, they do not constitute evidence that Marine Transport routinely overcharged for storage fees – which is the conduct the ALJ found unreasonable. Crocus relies on these alleged other incidents as purportedly showing that Marine Transport is a “bad actor” generally and altogether untrustworthy, but that does not constitute the type of proof required to show that Marine Transport had a policy of overcharging shippers for storing cargo prior to export. *See generally Hangzhou*, 2020 FMC LEXIS 192, at *8 (noting the significance of the lack of evidence that respondent engaged in the same conduct with other shippers).

Section 545.4 requires proof that “claimed acts or omissions” occurred on a normal, customary, continuous basis, i.e., that the alleged conduct amounts to a practice or regulation. A complainant must also prove that this specific practice or regulation is unjust or unreasonable. § 545.4(d). In other words, § 41102(c), as interpreted by the Commission, requires proof that a regulated entity engaged in a practice related to receiving, handling, storing, or delivering property that was unreasonable. Crocus’s approach would result in liability if a regulated entity’s “practice” was behaving unreasonably. That is not how § 545.4 is structured, and Crocus cannot combine disparate types of allegedly unreasonable behavior into a practice for purposes of § 41102(c).

Crocus also relies on the district court’s dismissal of a breach of contract claim in *World Express* as an “[a]dditional example” of Marine Transport’s alleged practice of collecting money for goods or services it did not provide. Crocus Exceptions at 19-20. Crocus does not explain how the dismissal of *World Express*’s contract claim against Crocus in that litigation shows a pattern of misconduct by Marine Transport. The New Jersey district court was addressing

World Express's claim for charges it was allegedly due, not Marine Transport's entitlement to storage fees. *World Express & Connection, Inc. v. Crocus Invs., LLC*, No. 2:15-CV-08126-KM, 2020 U.S. Dist. LEXIS 156525, at *37-*40 (D.N.J. Aug. 28, 2020). Although Mr. Solovyev has a connection with both companies, World Express's actions are not attributable to Marine Transport, which is owned by Mr. Solovyev's estranged wife.

Crocus also relies on the Commission's findings in two prior cases, *Best Way USA, Inc. v. Marine Transport Logistics (Best Way)*, FMC Docket No. 1901(I), and *Samir Abusetta d/b/a Sammy's Auto Sales v. JAX Auto Shipping and Marine Transport Logistics (Sammy's Auto Sales)*, FMC Docket No. 1932(I) to establish that Marine Transport engages in unreasonable conduct on a normal, customary, and continuous basis.

Best Way involved a shipment of three vehicles in 2007 from the United States to Russia with intermediate calls at ports in Germany and Latvia. *Best Way*, Order Affirming S.O. Decision at 2-3. (Nov. 8, 2013). *Best Way* brought a § 41102(c) claim against Marine Transport seeking reparations for demurrage charges imposed at the destination port and business losses caused by the shipment's delayed arrival. *Id.* at 2-3. The Settlement Officer found that Marine Transport "assessed unlawful storage charges at origin and held the cargo . . . which resulted in demurrage . . . incurred in Riga," and "wrongfully charged [the shipper] \$420 for storage in New York, \$1,880 for demurrage in Riga, and \$625 for an increased cost of rail services from Riga" to the final destination. *Id.* at 5. The Commission affirmed those findings in part and found that Marine Transport violated § 41102(c) "by failing to observe just and reasonable practices with the handling, storing and delivering of Complainant's property." *Id.* at 6.

It is not obvious from the Commission's decision what aspects of Marine Transport's conduct violated § 41102(c). The Commission did not expressly affirm or reverse the finding regarding the storage charges that Marine Transport imposed at the

port of origin in the United States. *See id.* The Commission’s statement that Marine Transport “had plenty of time to notify Complainant of the additional storage charges prior to loading,” however, suggests that it found Marine Transport at fault in that regard. *See id.* at 5. The Commission’s decision could thus reasonably be construed as finding Marine Transport in violation of § 41102(c) for imposing unreasonable storage fees on a single shipment of three vehicles in or about December 2007.

At most, the evidence that Crocus relies upon demonstrates the Commission found Marine Transport in violation of § 41102(c) on one prior occasion based on the storage fees it assessed against a single shipment of vehicles in or about December 2007. This falls short of the requirement that Marine Transport’s conduct regarding storage charges in 2013 and 2014 is normal, customary, and continuous. *Hangzhou*, 2020 FMC LEXIS 192; *Stockton Elevator*, 8 F.M.C. at 200-201.

Sammy’s Auto Sales involved a shipment of eight vehicles that were to be transported from the United States to Jordan in two containers. Sammy’s hired JAX which in turn engaged Marine Transport to arrange transportation overseas. S.O. Decision at 1-3. Acting on JAX’s instructions, Sammy’s delivered the vehicles to a New Jersey warehouse for future loading. *Id.* at 2. Shipment of one container was delayed due to a missing vehicle title. *Id.* A duplicate title was eventually obtained and provided to Marine Transport. By that time, Marine Transport was owed \$10,000 in accrued storage fees. Its offer to discount the accrued fees to \$4,000 did not settle the matter, and the vehicles were eventually auctioned off. Sammy’s sued for reparations claiming that JAX and Marine Transport had violated § 41102(c). *Id.* at 3. Sammy’s alleged that Marine Transport lost its car title and failed to provide timely notice of the accruing warehouse charges. *Id.* at 12.

The Settlement Officer found that Marine Transport had not violated § 41102(c) but JAX had. *Id.* at 10-13 (stating that “it was incumbent upon JAX (and not [Marine Transport]) to provide notice

of the storage charges”). Sammy’s hired JAX, not Marine Transport, to transport its vehicles and Marine Transport “does not own, operate or control” the company that stored the vehicles. *Id.* at 7. The case came before the Commission on sua sponte review and the Commission concurred with the Settlement Officer’s “finding that [Marine Transport] did not violate § 41102(c).” Order Reversing in Part Decisions of the Settlement Officer, at 7 (FMC Oct. 18, 2016).

Crocus acknowledges the Commission’s finding that Marine Transport was not liable but argues that JAX’s conduct (which was found to be in violation of § 41102) demonstrates that Marine Transport acted unreasonably in allowing storage charges to accrue without notifying Crocus. Crocus Exceptions at 26. But Crocus cannot rely on a case where the Commission expressly found that Marine Transport did *not* act unreasonably as evidence that Marine Transport’s conduct here is part of a practice.

Finally, Crocus relies on allegations in two cases brought against Marine Transport that are currently before the Commission: *MAVL Capital Inc. v. Marine Transport Logistics, Inc.* (MAVL), FMC Docket No. 16-16 and *Nnabugwu Chinedu Andrew v. Marine Transport Logistics, Inc.* (Andrew), FMC Docket No. 20-12. See Crocus’s Exceptions at 14 and 21. But the allegations in those cases are different from the conduct the ALJ found unreasonable here. In *MAVL*, the complainants alleged that Marine Transport failed to provide them with certain documents (ownership documents, shipping invoices, bills of lading, transport terms and conditions), failed to deal in good faith, misdelivered cargo, detained cargo, converted cargo, and exercised a maritime lien for monies owed to third parties. Compl. ¶¶ V.A, C, FMC Docket No. 16-16 (July 31, 2016). The complainants did not allege that Marine Transport overcharged them for storage without notice. Likewise, the complainants in *Andrew* did not allege that Marine Transport overcharged them. Rather, they alleged that Marine Transport violated § 41102(c) by failing to provide certain documents, failing to deal in good faith, misapplying complainants’ monies resulting in delayed shipments and additional storage charges, causing

unnecessary storage charges, misdelivering cargo, and dismantling automobiles. Compl. ¶¶ 55-172. These allegations are related to storage charges, but they are a different type of conduct than what the ALJ found unreasonable here.

Additionally, the allegations in *MAVL* and *Andrew* are just that – allegations. The Commission order in *MAVL* was decided using a motion to dismiss standard under which the Commission accepted the allegations as true. But neither the Commission nor the ALJ has made factual findings on those allegations. And *Andrew* is pending before the ALJ. Consequently, these cases are of limited relevance about whether Marine Transport’s unreasonable conduct occurred on a normal, customary, and continuous basis. While the Commission could consider allegations as substantiating evidence, here the allegations brought by other complainants that Crocus relies on are not enough to carry the day. *See generally Hangzhou*, 2020 FMC LEXIS 192, at *6 (speculation that respondent may have engaged in similar conduct in handling other shipments insufficient to prove a pattern or practice).

In sum, the ALJ correctly applied 46 C.F.R. § 545.4 in deciding Crocus’s § 41102(c) claim. In challenging the ALJ’s determination that Crocus failed to prove Marine Transport normally, customarily, and continuously overcharged shippers to store cargo, Crocus points to only one relevant instance of overcharging another shipper. That conduct involved a single shipment of three vehicles and occurred in or around December 2007. Two instances of overcharging on storage fees over a seven-year period are not sufficient to show a regulation or practice of engaging in that conduct. Crocus has not met its burden of proving that Marine Transport had a regulation or practice of engaging in unreasonable or unjust conduct in handling or storing shippers’ cargo, and the Commission therefore affirms the ALJ’s dismissal of this claim.⁷

⁷Crocus’s challenge to the ALJ’s calculation of reparations is denied as moot. *See* I.D.R. at 22; Crocus Exceptions at 28.

III. CONCLUSION

The Commission hereby:

(1) affirms the ALJ's dismissal of the § 41102(c) claim regarding the Formula boat; and

(2) dismisses the complaint and discontinues this proceeding.

By the Commission.

Rachel E. Dickon
Secretary

Chairman MAFFEI, concurring:

I agree in the outcome of the majority opinion, but I disagree with one part of the analysis involving the Commission's 2018 interpretive rule on § 41102(c), codified at 46 C.F.R. § 545.4, in this case.

As I have stated in previous opinions,⁸ I accept that the interpretive rule is the current policy of the Federal Maritime Commission, and I have voted with the majority when the interpretive rule is applied properly in order to ensure consistency while the interpretive rule remains in effect. However, I have not changed my view that the interpretive rule misinterprets the intent of Congress in § 41102(c).

⁸See, e.g., *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int'l Inc.*, 2 F.M.C. 2d 168, 175-78 (FMC Sept 1, 2020); *Gruenberg-Reisner v. Overseas Moving Specialists*, 34 S.R.R. 613 (FMC 2016).

Therefore, I do not agree where the majority opinion directly references a view of Congressional intent and therefore *reinforces*, rather than merely *follows*, the interpretive rule. Specifically, I disagree with the majority's opinion where it states, "[r]ather, Crocus is being held to the standard of proof that Congress intended to apply to § 41102(c) claims against OTIs and carriers."⁹

Because the majority makes a convincing argument that the 2018 interpretive rule does properly apply to this case without this discussion, I concur with the rest of the analysis and the outcome.

I would note, in case this statement comes across as pedantic, that the interpretive rule that the majority opinion reinforces is currently contributing to a substantial deterrent for parties to bring private claims in cases involving alleged unreasonable detention and demurrage charges. As we consider ways to encourage private parties to bring complaints to the Commission for adjudication in this challenging time for the ocean cargo transportation system, I hope to draw attention to this issue in the hopes that Congress will clarify the awkward phrasing of § 41102(c) and make it clear how the Commission should adjudicate such claims.

⁹Majority opinion, at 12.